

(UPDATED) Luxury Dealership Business Use Case

Project Overview + Context

Elite Motor Dealership is a luxury brand dealership located in Mishawaka, Indiana. Elite Motor Dealership is a full-service dealership offering their customers not only a full line-up of all new Lexus vehicles, but also numerous luxury and mid-range vehicles from similar brands. With a friendly and reliable service and parts department as well, Elite Motor Dealership has led the number of sales in the market for the past 25 years.

In order to ensure Elite Motor Dealership is accurately serving their market and the needs of their customers; Elite Motor Dealership has tasked their in-house Marketing and Information Specialist, YOU, with analyzing their historical data for insights that can't help them understand the trends in their past performance that they can maximize today.

Criteria for Success

The in-house Marketing and Information Specialist, YOU, will analyze the historical sales data provided by Elite Motor Dealership. You will present 10 trends identified from your research and include a suggestion of what the dealership could do with this information for each trend.

Deliverables

1. EoC2 Final_Completed Notebook

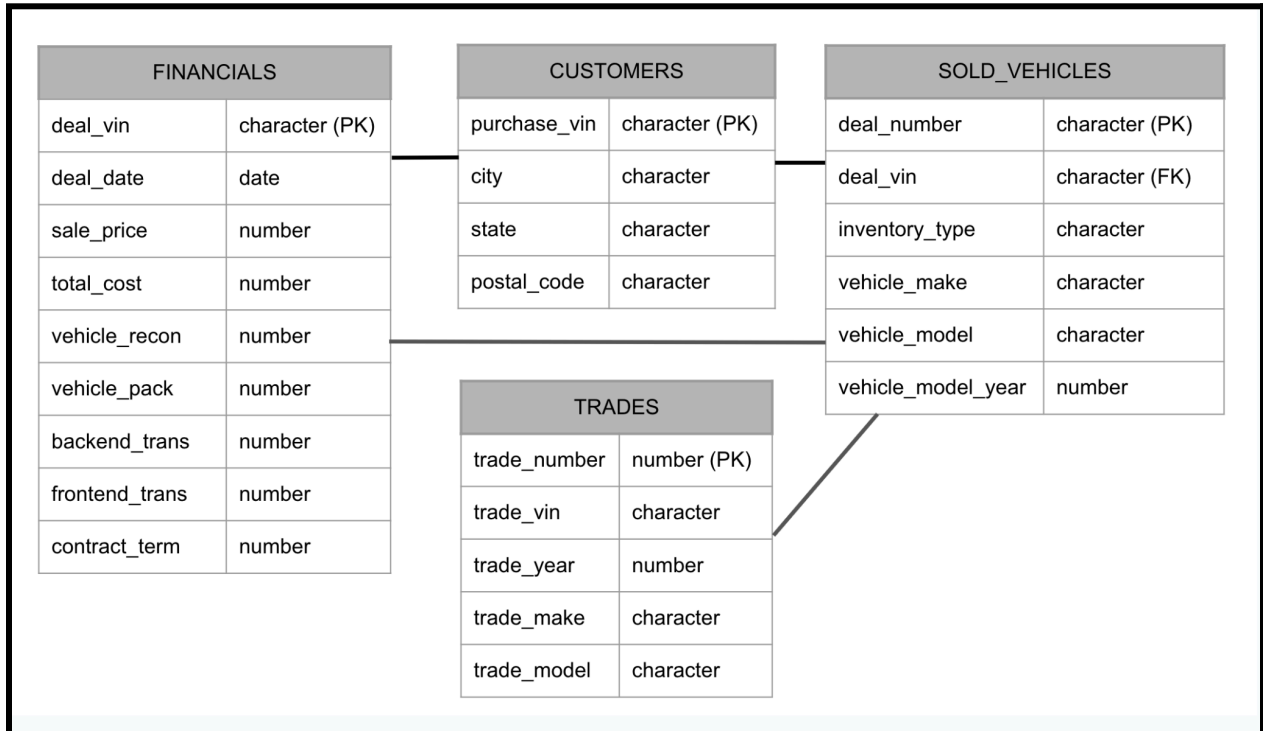
Contents of Zip File

1. Luxury_Car_Dlrshp.db
2. Luxury Dealership Business Use Case.pdf
3. EoC2 Final Notebook

Data Source:

The database is named 'Luxury_Car_Dlrshp' and contains in total 7,574 rows. There are four tables in the database: 'customers', 'sold_vehicles', 'financials', and 'trades'.

Diagram 1: Luxury_Car_Dlrshp ERD



ERD Explanation:

- Table “FINANCIALS” connects the primary key *deal_vin* to table “CUSTOMERS” primary key *purchase_vin* and to table “SOLD_VEHICLES” foreign key *deal_vin*.
- Table “CUSTOMERS” connects the primary key *purchase_vin* to table “SOLD_VEHICLES” foreign key *deal_vin*.
- Table “SOLD_VEHICLES” connects primary key *deal_number* to table “TRADES” primary key *trade_number*.

Definitions:

Total sales is the count of the total number of sales.

sale_price is the cost of the vehicle a customer pays.

total_cost is calculated by finding the sum of vehicle_recon, vehicle_pack, backend_profit, and front_end_gross_profit.

Note: profit on the back and front end are not always a positive value.

vehicle_recon is a per-vehicle reconditioning cost being added to used vehicles. This could include — detailing, mechanical reconditioning, body shop work, certification fees, etc. All which vary deal by deal.

vehicle_pack is a fixed dollar amount that the dealership adds to every vehicle's inventory cost before computing reported gross. The pack pays for things like salesperson commission accruals, lot expense, internal recon, or simply to manage front-line gross presentation. In the case of this dealership, that amount is \$200 on every new Lexus.

backend_trans is the +/- sales transaction from the service and or parts department or a.k.a "back-end operations" of a dealership.

frontend_trans is the +/- sales transaction from the warranty and financial department and includes vehicle trade-in transactions.

total_gross_profit is the total cost the dealership made off of the sale of a vehicle. It is calculated by taking the sale_price (revenue) minus the total_cost (cost).

New (N) - is a vehicle that has never been titled to a consumer. It is sold as an original asset directly from the manufacturer to the dealership.

Used (U) - is a vehicle that has had at least one previous owner and has been previously registered/titled. This vehicle status is also known as "pre-owned" or if the vehicle is authorized as meeting the inspection criteria for an extended warranty, offered by the brand manufacturer, then these vehicles are often referred to as "certified".